Reading: A Short History of Money

MNY101 Money Basics. A sample document written for trying Smazy. It is not a real course.

Before money, people traded by barter: goods were swapped directly for other goods. Barter only works when each person wants what the other has, which is rare.

To solve this, societies began to use objects that everyone would accept, such as shells, salt, and metal. Metal coins were durable and easy to carry, and their weight could be checked.

Paper money began as a receipt for metal stored somewhere safe. Over time people traded the receipts themselves. Today most money is not paper at all: it is a number in a bank's records, moved electronically.

What has stayed the same is trust. Money works because people believe that others will accept it tomorrow.